# Robinhood Markets, Inc.

**HOOD** NASDAQ

| Buy | $102.43 ▲ 4.30% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$125.00** | $63.52 – $150.47 | $92.09B |

## HOOD: Bounces Back as Crypto Rules Finally Clear Up

### WHAT HAPPENED

- HOOD popped 4.3% on light volume (8.5M vs 15-20M recent days) — that's a bounce, not a breakout. Light volume on an up day usually means sellers just stepped aside, not that big buyers piled in.
- Options flow is screaming bullish — put/call ratio of 0.36 means traders are buying nearly 3x as many calls (bets stock goes up) as puts (bets it goes down). The unusual $101 call buying right at the money tells me someone's positioning for earnings or a near-term catalyst.

### WHY IT MATTERS

Here's what I think is really going on: HOOD got whacked from $104 to $96 over three days, and today's bounce is just the market catching its breath before Q3 earnings (typically early November). The bigger story — and why I'm constructive — is that the regulatory environment under the current administration has become dramatically more crypto-friendly, with the CLARITY Act and the GENIUS stablecoin bill now law. That's HUGE for HOOD because crypto trading is their highest-margin business, and clear rules mean institutional money finally feels safe routing orders through them. The options market sniffing something out + a friendly regulatory backdrop + a stock sitting at only 45% of its 52-week range = decent risk/reward into earnings.

### POLICY & POLITICAL WATCH

The big one to watch: payment for order flow (PFOF) — that's how HOOD makes most of its money from stock trades (market makers pay them to route your orders). The SEC under the new administration has backed off the aggressive PFOF restrictions that were being drafted in 2023-2024, which is a massive tailwind. On the crypto side, the GENIUS Act (stablecoin regulation) and CLARITY Act (market structure) passing earlier this year gave HOOD a clean runway to expand tokenized assets and stablecoin products in the US. Also watch: prediction markets regulation — HOOD's event contracts business is growing fast, and the CFTC is leaning permissive, which is another quiet tailwind nobody's pricing in.

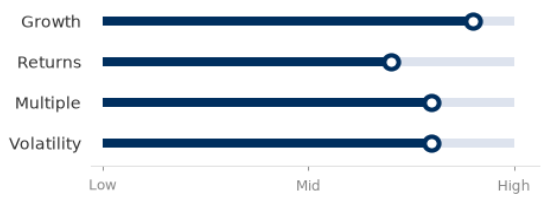
### IS IT EXPENSIVE?

At ~$102, HOOD trades around 52x next year's earnings — meaning you're paying $52 for every $1 of profit they're expected to make. That's rich compared to Schwab (~18x) or IBKR (~25x), but HOOD is growing revenue 40%+ while those guys grow single digits. The question isn't "is it expensive" — it is — the question is whether crypto volumes and new products (retirement, credit card, prediction markets) justify premium growth-stock pricing. I think yes, but there's no margin for error on earnings.

### Key Data

| | |
|---|---|
| Price (USD) | **$102.43** |
| 12M Price Target | **$125.00** |
| Upside / (Downside) | **+22.0%** |
| Market Cap | **$92.09B** |
| FY2026E Revenue | **$4,850M** |
| FY2027E Revenue | **$6,200M** |
| FY2026E EPS | **$1.95** |
| FY2027E EPS | **$2.70** |
| Fwd P/E | **52.5x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500





This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**HOOD** — Robinhood Markets, Inc. | October 21, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$115.00** | $105.00 | **$92.00** |
| 6 Months | **$135.00** | $115.00 | **$80.00** |
| 1 Year | **$160.00** | $125.00 | **$70.00** |
| 2 Years | **$200.00** | $150.00 | **$60.00** |
| 5 Years | **$300.00** | $200.00 | **$50.00** |
| 10 Years | **$500.00** | $300.00 | **$40.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Financials (+2.8% over 5 days) and Tech (+1.9% today) — money is flowing into rate-sensitive and growth names as the market bets on continued pro-business policy and deregulation. Crypto-adjacent financials specifically benefit from the clearer regulatory regime.

**COOLING OFF:** Materials and defensives are flat-to-down — classic "risk-on" rotation signal.

**ROTATION WATCH:** Capital is moving out of safe havens into high-beta financials and fintech because the regulatory thaw + strong consumer = perfect setup for trading platforms. That's a direct tailwind for HOOD.

**RELATED PLAY:** If HOOD runs, watch COIN (Coinbase) and the crypto exchanges — same tailwind, same story. Also IBKR for the "serious trader" version of the same trade.

## WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Benefiting from the exact same crypto regulatory clarity + institutional adoption story — tends to lead HOOD by a few days on crypto-driven moves.
- SOFI (SoFi Technologies): Fintech peer riding consumer strength and lower-rate-cut expectations; shows the "fintech is back" narrative is broader than just HOOD.

**HOOD CONTEXT:** HOOD is roughly in-line with its fintech peers but lagging COIN on the crypto thaw story. That gap could close if crypto volumes stay strong into year-end — meaning HOOD has catch-up room, which is bullish.

## WHAT I'D DO WITH THIS STOCK

### 7/10 Conviction Score

**CONVICTION:** 7/10 — strong setup with real tailwinds, but the stock already ran from $63 to $150 this year so you're not getting a bargain.

**POSITION SIZE:** 2-4% of portfolio — enough to matter if it works, not enough to hurt if crypto rolls over.

**ENTRY POINTS:** I'd add on dips to $95-98, which is where recent support held. If it breaks $90, something's wrong — reassess.

**TIME HORIZON:** 12-24 months — the real catalyst is tokenized assets and prediction markets scaling into 2027, with Q3 earnings as the near-term checkpoint.

WHEN TO BAIL: If crypto volumes drop 40%+ sequentially, if PFOF regulation comes back on the table seriously, or if they miss revenue by 10%+ on earnings.

**HEDGING:** Simplest hedge is to size smaller. If you want to get fancy, buy a put option 10% below where you bought — think of it as insurance that pays off if the stock crashes. Or pair with a short in a slower-growing broker like Schwab.



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